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What to Buy Applying This to Your Own Needs

The average investor is not a specialist in the field of investment. If a man, he usually gives but a tiny fraction of the time or mental effort to handling his investments that he devotes to his own work. If a woman, the time and effort given to investments is equally small compared to that devoted to her normal duties. The result is that the typical investor has usually gathered a good deal of the half-truths, misconceptions, and just plain bunk that the general public has gradually accumulated about successful investing.

One of the most widespread and least accurate of such ideas is the popular conception of what traits are needed to be an investment wizard. If a public opinion poll were taken on this subject, I suspect John Q. Public's composite picture of such an expert would be an introverted, bookish individual with an accounting-type mind. This scholastic-like investment expert would sit all day in undisturbed isolation poring over vast quantities of balance sheets, corporate earning statements, and trade statistics. From these, his superior intellect and deep understanding of figures would glean information not available to the ordinary mortal. This type of cloistered study would yield invaluable knowledge about the location of magnificent investments.

Like so many other widespread misconceptions, this mental picture has just enough accuracy to make it highly dangerous for anyone wanting to get the greatest long-range benefit from common stocks.

As already pointed out in the discussion of the fifteen points to be considered if a major investment winner is to be selected by any means other than pure luck, a few of these matters are largely determined by cloistered mathematical calculation. Furthermore, as mentioned near the beginning of this book, there is more than one method by which an investor, if sufficiently skilled, can over the years make some money—occasionally even really worthwhile money—through investment. The purpose of this book is not to point out every way such money can be made. Rather it is to